

2c. Content of J205/02 – National and International Economics

This component provides learners with an understanding of the main economic objectives and role of the government in achieving them.

They will learn to appreciate the importance and impact of international trade by analysing data such as quantitative information on exports and imports.

Learners will investigate the effects of economic policies on markets. They will use and interpret quantitative evidence, such as unemployment figures, in contemporary and historical economic contexts.

Learners are encouraged to consider moral, ethical and sustainability issues that arise as a result of the impact of economic activity in a range of national and global contexts.

Please note:

All terms in **bold** are key terms learners should be familiar with and learners should be able to explain their meaning. For the use and meaning of command words please see Section 2b.

3. Economic objectives and the role of government	
Topic	Learners should be able to
3.1 Economic growth	- explain what is meant by economic growth - calculate and explain how economic growth is measured with reference to Gross Domestic Product (GDP) and GDP per capita - analyse recent and historical GDP data - analyse the determinants of economic growth, including investment, changes in technology, size of workforce, education and training, availability of natural resources and government policies - evaluate the costs and benefits of economic growth, including the impact on economic, social and environmental sustainability
3.2 Low unemployment	- explain what is meant by employment and unemployment - explain how unemployment is measured using the Claimant Count - calculate the unemployment rate - analyse recent and historical unemployment figures - explain the types of unemployment, including cyclical, frictional, seasonal and structural unemployment - evaluate the causes and consequences of unemployment for individuals, regions and the government
3.3 Fair distribution of income	- explain what is meant by the distribution of income, including different types of income and the difference between income and wealth - calculate income and wealth - evaluate the causes of differences in the distribution of income and wealth and the consequences for an economy

<i>Topic</i>	<i>Learners should be able to</i>
3.4 Price stability	- explain what is meant by price stability and inflation, including the difference between real and nominal values - explain how inflation is measured using the Consumer Price Index (CPI) - calculate the effect of inflation on prices - analyse recent and historical inflation figures - evaluate the causes of inflation and the consequences for consumers, producers, savers and the government
3.5 Fiscal policy	- explain purposes of government spending and sources of government revenue, including direct taxes and indirect taxes - explain what is meant by a balanced government budget, budget surplus and budget deficit - explain what is meant by fiscal policy and how it can be used to achieve economic objectives - calculate and analyse how taxes and government spending can affect markets as well as the overall economy - evaluate the costs, including opportunity cost, and the benefits of fiscal policy on the economy to achieve economic objectives - evaluate economic consequences of measures to redistribute income and wealth, including progressive taxes
3.6 Monetary policy	- explain what is meant by monetary policy and how it can be used to achieve economic objectives - analyse how monetary policy can affect growth, employment and price stability - evaluate the effects of monetary policy on consumer spending, borrowing, saving and investment
3.7 Supply side policies	- explain what is meant by supply side policy and how it can be used to achieve economic objectives - evaluate the costs, including opportunity cost, and the benefits of supply side policies for the economy
3.8 Limitations of markets	- explain what is meant by positive and negative externalities - explain government policies to correct positive and negative externalities, including taxation and subsidies, state provision, legislation and regulation and information provision - evaluate the use and impact of government policies to correct positive and negative externalities - evaluate the costs, including opportunity cost, and the benefits of government policies to correct positive and negative externalities.